

CASE ID: 198101710210

EPISODE NAME: Netherlands Taiwan Arms Sales

1981/01/12 - 1984/02/01

Sender: China (710)

Target: Netherlands (210)

Issue: End Weapons/Materials Proliferation (9)

Final Outcome: Total Acquiescence by Target State following sanctions imposition (7)

Narrative:

On 1981/01/12, China threatened the Netherlands with diplomatic sanctions if they went through with their planned sale of six Dutch submarines to Taiwan (two built in the Netherlands and four to be built in Taiwan).¹ Specifically, China threatened to reduce relations with the Netherlands to *charge d'affaires* level, and lobbied other states in the European Economic Community (EEC) to pressure the Netherlands to not sell Taiwan the submarines.² Despite China's threats, the Netherlands approved the sale of the two assembled vessels 1981/02/20.³

On 1981/05/05, China imposed the threatened diplomatic sanctions on the Netherlands by withdrawing their ambassador from the Netherlands and downgrading relations with the Netherlands to *charge d'affaires* level.⁴ China also terminated all economic and commercial intention agreements with the Netherlands.⁵ It is possible these sanctions had a significant economic impact on the Netherlands, as bilateral trade between China and the Netherlands decreased 8 percent in 1980 and 19 percent in 1981.⁶ The diplomatic sanctions also served as a warning to the recently inaugurated United States President Ronald Reagan, to ward against potential US arm sales to Taiwan.⁷

On 1984/02/01, China resumed full diplomatic relations with the Netherlands when the Netherlands agreed not to deliver the supplies for Taiwan to build four additional vessels.^{8 9} The

¹ Daniel, Darling. "Taiwanese Navy Submarine Upgrade Project Comes into View," *Defense Security Monitor*, May 23rd, 2018. <https://dsm.forecastinternational.com/wordpress/2018/05/23/taiwanese-navy-submarine-upgrade/>.

² Gries, David. "Downgrading of Chinese Diplomatic Relations with the Netherlands." Central Intelligence Agency, July 19th, 1982. <https://www.cia.gov/readingroom/docs/CIA-RDP83T00951R000100070041-5.pdf>.

³ Ibid

⁴ Ibid

⁵ "China, Netherlands seek improved ties," *Christian Science Monitor*, June 18th, 1985, <https://www.csmonitor.com/1985/0618/osabra.html>.

⁶ Gries, David. "Downgrading of Chinese Diplomatic Relations with the Netherlands." *Central Intelligence Agency*, July 19th, 1982. <https://www.cia.gov/readingroom/docs/CIA-RDP83T00951R000100070041-5.pdf>.

⁷ Roberts, Priscilla, Bloch, Julia, Lingyu, Kong, and Qingquang, Lv. "The Power of Culture: Encounters Between China and the United States." *Cambridge Scholars Press*, January 2016. https://www.researchgate.net/publication/301746993_The_Power_of_Culture_Encounters_Between_China_and_the_United_States.

⁸ "China, Netherlands seek improved ties," *Christian Science Monitor*, June 18th, 1985, <https://www.csmonitor.com/1985/0618/osabra.html>.

⁹ "China, Netherlands Upgrade Relations." *The Washington Post*, February 1st, 1984. <https://www.washingtonpost.com/archive/national/1984/02/02/china-netherlands-upgrade-relations/38bc221e-d446-4bec-b54d-e0fac819a8c1>.

Netherlands followed through on this promise in 1992, turning down the Taiwanese request for the additional four submarines.¹⁰

¹⁰ Daniel, Darling. "Taiwanese Navy Submarine Upgrade Project Comes into View," *Defense Security Monitor*, May 23rd, 2018. <https://dsm.forecastinternational.com/wordpress/2018/05/23/taiwanese-navy-submarine-upgrade/>.